Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

B.Com DEGREE EXAMINATION APRIL 2021

CM101Q – FINANCIAL ACCOUNTING - I

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. What is accounting?
2. What do you mean by adjustment entries?
3. What is single entry system?
4. Write a short note on Conversion method?
5. How will you deal with them when preparing final accounts (i.e Income and expenditure a/c and Balance sheet) when they are appearing in the receipts and payments account.
   (a) Life membership fees (b) Entrance Fees
6. Explain the meaning of 'non-trading organisation'.
7. What is Del Credere Commission?
8. What do you mean by Consignments?
9. What do you understand by Joint Venture?
10. What is Joint Bank account?

SECTION – B (5X5=25)

Answer any **FIVE** Questions

11. Prepare a trial balance as on 31st March 2015 from the following ledger balances:

	₹		₹
Capital	40,000	Purchases	36,000
Discount	1,200	Rent and taxes	1,200
Carriage inward	8,700	Plant and machinery	10,700
Carriage outward	2,300	Stock on 1.4.2012	15,500
Sales	60,000	Sundry debtors	20,200
Return inwards	300	Sundry creditors	12,000
Return outwards	700	Commission	1,800
Cash in hand	100	Cash at bank	10,100
Motor cycle	4,600	Stock on 31.3.2013	18,300

12. Pass necessary adjustment entries for the following adjustments.

(i) Salary outstanding ₹ 10, 000 (ii) Rent received in advance ₹ 1,000

(iii) ₹ 10,000 to be transferred to General Reserve (iv) Interest charged on drawings ₹ 5,000.

13. What are the limitations of Single entry system?

14. Calculate the profit of the concern

Capital in the beginning ₹ 8,00,000; Capital at the end ₹ 9,00,000;

Drawings ₹ 1,80,000; Capital introduced ₹ 50,000

15. Find out the amount of salaries to be debited to Income and expenditure account 2014 from the details given below.

Payments made for salaries during 2014 ₹ 48,000; Outstanding salary as on 31-12-2013 ₹ 2,000

Outstanding salary as on 31-12-2014 ₹ 3,200; Prepaid salary as on 31-12-2013 ₹ 1,200

Prepaid salary as on 31-12-2014 ₹ 1,600

16. Raja of Madurai consigned 100 chairs to Maharajan of Coimbatore at an invoice cost of ₹ 300 each. Raja paid freight ₹ 2,000 and Insurance ₹ 1,500. During the voyage 10 chairs were totally damaged by fire and to be thrown overboard. He sold 80 chairs at ₹ 400 each after incurring expenses on godown rent and advertisement amounting to ₹ 2000. Calculate the value of closing stock.

17. Distinguish between consignment and joint venture.

SECTION – C (3X10=30)

Answer any **THREE** Questions

18. On 31st Dec.2015 the following trial balance was extracted from the books of Naven

	Debit ₹		Credit ₹
Plant & Machinery	80,000	Capital	50,000
Purchases	60,000	Returns outwards	750
Returns inwards	1,000	Discount received	800
Opening stock	30,000	Creditors	25,000
Discount	350	Bad Debts Provision	525
Bank charges	75		
Debtors	45,000		
Salaries	6,800		
Wages	10,000		
Carriage in	750		
Carriage out	1,200		
Rent, Rates & Taxes	10,000		
Advertisment	2,000		
Cash in hand	900		
Cash at Bank	6,000		
	2,54,075		**2,54,075**

You are asked to prepare the Trading and Profit and Loss a/c for the year ended 31st Dec.2015 and the Balance sheet as on that date. The following adjustments are required.

(I) Closing stock ₹ 35,000. (II) Depreciation of Plant & Machinery at 6%
(III) Bad debts provision to be adjusted to ₹ 500. (IV) Interest on capital to be allowed at 5% p.a

19. Distinguish between Single entry system and Double entry system.

20. Following is the trial balance of an institution as on 31st March, 2016.

Debit balances	₹	Credit balances	₹
Land	50,000	Capital fund	15,60,000
Building	15,00,000	Tuition fees received	25,10,000
Furniture	3,00,000	Salaries payable	1,75,000
Salaries	14,60,000	Prize fund	2,00,000
Investments	7,00,000	Tournament fund	3,00,000
Stationery, Postage	1,73,000	General Reserve fund	2,00,000
Lighting	36,000	Interest received on	
General expenses	65,000	Investment	77,000
Prizes awarded	20,000	Donation for the Hall	1,50,000
Tournament expenses	30,000		
Library books	3,75,000		
Bank balance	4,63,000		
	51,72,000		51,72,000

Depreciation is to be provided as follows; Building 20%; Furniture 10%; and Library book 20%; The investments were made against the various funds commonly. Prepare the Income and Expenditure account for 2015-2016 and the Balance sheet as on 31st March 2016.

21. X from velur consigns 50 Bales of Cotton at ₹ 1,000 per bale to his agent 'Y" in Chennai. 'Y' is entitled for a commission of 5% on sales plus expenses. Y sells the consignment for ₹ 78,000 incurring freight charges ₹ 2,000 and Insurance ₹ 1,000 and remits the sales proceeds by a cheque. Pass journal entries in the books of the book of X.

22. Vijay and Kumar entered into a joint venture for purchase and sale of various types of cottage industry articles. They agreed to share profits and losses in the ratio of their respective contributions. Vijay contributed ₹ 1,00,000 in cash and Kumar ₹ 1,30,000. The whole amount was placed in a joint bank account. Goods were purchased by Vijay for ₹ 1,00,000 and expenses paid by Kumar ₹ 20,000. They also purchased goods for ₹ 1,50,000 through joint bank account. Total expenses on purchase and sale of the articles amounted to ₹ 30,000 (including those met by Kumar). Goods costing ₹ 2,00,000 were sold for ₹ 4,50,000 and the balance was lost by fire. You are asked to give the Joint Venture account and the venture's accounts closing the venture.

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